Absorbing Transition DID Results: AKM Failure Good — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.066***		-0.043***		-0.040***
		(0.011)		(0.009)		(0.011)
× Voluntary Rotation		-0.060***		-0.034***		-0.037***
		(0.005)		(0.003)		(0.004)
Pooled	-0.064***		-0.033***		-0.042***	
	(0.004)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.005		-0.009		-0.003
Difference p-value		0.631		0.253		0.765
Observations	46,418	40,437	46,418	40,437	46,418	40,437
Firms	5,293	5,010	5,293	5,010	5,293	5,010
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.061***		-0.045***		-0.036**
		(0.017)		(0.015)		(0.017)
× Voluntary Rotation		-0.061***		-0.036***		-0.035***
		(0.007)		(0.005)		(0.006)
Pooled	-0.065***		-0.039***		-0.038***	
	(0.006)		(0.005)		(0.006)	
Mandatory − Voluntary		0.000		-0.008		-0.001
Difference p-value		0.990		0.556		0.976
Observations	29,817	27,559	29,817	27,559	29,817	27,559
Firms	3,225	3,188	3,225	3,188	3,225	3,188
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.067***		-0.039***		-0.045***
		(0.012)		(0.009)		(0.012)
× Voluntary Rotation		-0.052***		-0.026***		-0.034***
		(0.004)		(0.002)		(0.004)
Pooled	-0.054***		-0.027***		-0.036***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.015		-0.012		-0.011
Difference p-value		0.204		0.161		0.342
Observations	48,274	41,963	48,274	41,963	48,274	41,963
Firms	5,521	5,253	5,521	5,253	5,521	5,253
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.064***		-0.038***		-0.041***
		(0.011)		(0.008)		(0.010)
× Voluntary Rotation		-0.054***		-0.028***		-0.035***
		(0.004)		(0.002)		(0.003)
Pooled	-0.055***		-0.028***		-0.037***	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.010		-0.010		-0.006
Difference p-value		0.355		0.203		0.551
Observations	50,304	43,864	50,304	43,864	50,304	43,864
Firms	5,521	5,286	5,521	5,286	5,521	5,286
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.